

Introduction to Business

Short Notes By VU Nexus

Theme 2:

Entrepreneurship, Ethics & Socially Responsible Business (Detailed Short Notes)

Understanding Entrepreneurship

Definition:

Entrepreneurship is a **dynamic process** of creating something new that provides **value**, by investing **time, effort, and resources** while taking **financial, emotional, and social risks**.

According to Robert Hisrich:

Entrepreneurship means **creating value**, taking **risks**, and enjoying **rewards** — such as **money, independence, and personal satisfaction**.

Core Elements of Entrepreneurship:

- **Innovation** – bringing new ideas, products, or processes
- **Usefulness** – creating something beneficial
- **Commitment** – full dedication and consistency
- **Risk-taking** – readiness to face uncertainty
- **Reward** – achieving profit, satisfaction, or recognition

In simple words: An entrepreneur sees a problem, finds a solution, takes risks, and creates value.

Traits of a Successful Entrepreneur

A good entrepreneur has both **mindset and skillset**.

Main traits include:

1. **Innovative thinker** – comes up with creative solutions
2. **Risk taker** – doesn't fear failure, learns from it
3. **Visionary** – knows where to go and how to get there

4. **Strategic planner** – plans step-by-step progress
5. **Hardworking & disciplined** – stays consistent
6. **Knowledgeable** – understands the market/industry
7. **Adaptable** – can change with trends and technology
8. **Self-confident** – believes in their idea
9. **Leadership skills** – motivates and manages people
10. **Good communication** – builds trust and networks
11. **Goal-oriented** – works with clear purpose and focus

Challenges in Entrepreneurship

Being an entrepreneur is not easy — it's full of obstacles.

Key challenges include:

- **Uncertainty & risk:** No guaranteed income or success.
- **Limited capital:** Hard to get loans or investors.
- **Time management:** Balancing multiple tasks.
- **Hiring issues:** Difficult to find skilled people.
- **Customer building:** Gaining trust in competitive markets.
- **Scaling problems:** Maintaining quality while growing.
- **Legal & regulatory barriers:** Complicated rules, taxes, registration.
- **Low marketing budget:** Limited advertising reach.
- **Dealing with failure:** Staying strong after setbacks.

Success needs resilience, patience, and smart strategy.

Types of Entrepreneurs

Entrepreneurship appears in many forms

Type	Description
Innovation	Create new products / technologies
Imitative	Improve existing models

Serial	Start multiple ventures one after another
Social	Aim for social/environmental change
Lifestyle	Based on personal passion/hobby
Technopreneurs	Work in tech (AI, IT, Software)
Small Business	Focus on local market & stability
Scalable Startup	Aim for rapid growth (need investors)
Corporate (Intrapreneur)	Innovate inside big organization

Example:

- **Innovative:** Elon Musk (Tesla)
- **Social:** Edhi Foundation
- **Technopreneur:** Bill Gates

Startup vs Small Business

<i>Aspect</i>	<i>Startup</i>	<i>Small Business</i>
<i>Goal</i>	Rapid growth & Innovation	Stability & Regular Income
<i>Risk level</i>	High	Moderate
<i>Example</i>	Uber, What'sApp	Barber shop, Tuition center
<i>Funding</i>	Venture capital	Owner's savings
<i>Focus</i>	National / Global	Local community

All startups are small initially, but not all small businesses aim to become startups.

SMEs (Small & Medium Enterprises) in Pakistan

Importance of SMEs:

- Backbone of Pakistan's economy PK
- **80% of non-agricultural employment**
- Contribute **≈40% to GDP**
- Promote **exports** – textiles, sports goods, handicrafts
- Support **poverty reduction & self-employment**

- Encourage **industrial growth** (as subcontractors)
- Help **regional development** & reduce **urban migration**

SMEs = Employment + Exports + Innovation + Balance in economy

Barriers Facing SMEs in Pakistan

Despite their importance, SMEs face serious issues:

1. Limited access to financing
2. Poor infrastructure & technology
3. Heavy regulations & taxes
4. Limited international market access
5. Low productivity & skill gaps in workers

To grow SMEs, Pakistan needs better policies, modern training, and easy financing.

Causes of Business Failure

Top 10 reasons businesses fail:

1. Lack of planning
2. Limited finance
3. Poor management
4. Weak marketing
5. Regulatory issues
6. Political instability
7. Poor infrastructure
8. No innovation
9. Weak record-keeping
10. Weak legal system

Key lesson: Always plan, innovate, and keep records.

Prophet Muhammad (PBUH) – The Ideal Entrepreneur

Before Prophethood:

- Successful trader managing trade caravans.
- Worked with **Hazrat Khadijah (RA)**.
- Known as **Al-Ameen (The Trustworthy)** for honesty & integrity.

Entrepreneurial Qualities:

- Honest & fair in trade
- Excellent communication
- Hardworking & patient
- Took calculated risks
- Global outlook — dealt with many cultures
- Managed people efficiently

His life proves that ethics and success can go together.

Business Ethics & Social Responsibility

Definition:

Business ethics = Applying **moral principles** in business decisions and behavior. It ensures fairness, honesty, justice, and responsibility in work.

Core Principles:

1. **Honesty** – Truthful in dealings
2. **Integrity** – Do right even when hard
3. **Fairness** – Equal treatment
4. **Accountability** – Own your actions
5. **Respect** – Value others
6. **Transparency** – Be clear & truthful
7. **Loyalty** – Be faithful to team & clients

Benefits of Business Ethics:

- Builds **trust & reputation**

- Reduces **legal issues**
- Improves **employee morale**
- Leads to **long-term success**

Ethics isn't just moral—it's profitable.

Prophetic Sayings on Business Conduct (Hadiths)

1. **“The honest and trustworthy merchant will be with the Prophets, the truthful, and the martyrs.”** – *Tirmidhi*
 ➤ Importance of honesty in trade.
2. **“Whoever hoards is a sinner.”** – *Muslim*
 ➤ Don't exploit shortages.
3. **“He who cheats is not one of us.”** – *Muslim*
 ➤ Zero tolerance for dishonesty.
4. **“Pay the worker his wages before his sweat dries.”** – *Ibn Majah*
 ➤ Fairness and respect for employees.

Islam promotes business with integrity, fairness, and compassion.

Conclusion

- **Entrepreneurship** drives **innovation, jobs, and economic growth**.
- The journey has **many challenges**, but success needs **vision + ethics + strategy**.
- **Prophet Muhammad (PBUH)** is the **perfect role model** for ethical entrepreneurship.
- **SMEs** are the foundation of Pakistan's progress — they must be supported.
- Combining **business ethics** with **entrepreneurial spirit** can lead Pakistan to a **strong, fair, and sustainable economy**.